

2-2d Normal Balances

The sum of the increases in an account is usually equal to or greater than the sum of the decreases in the account. Thus, the

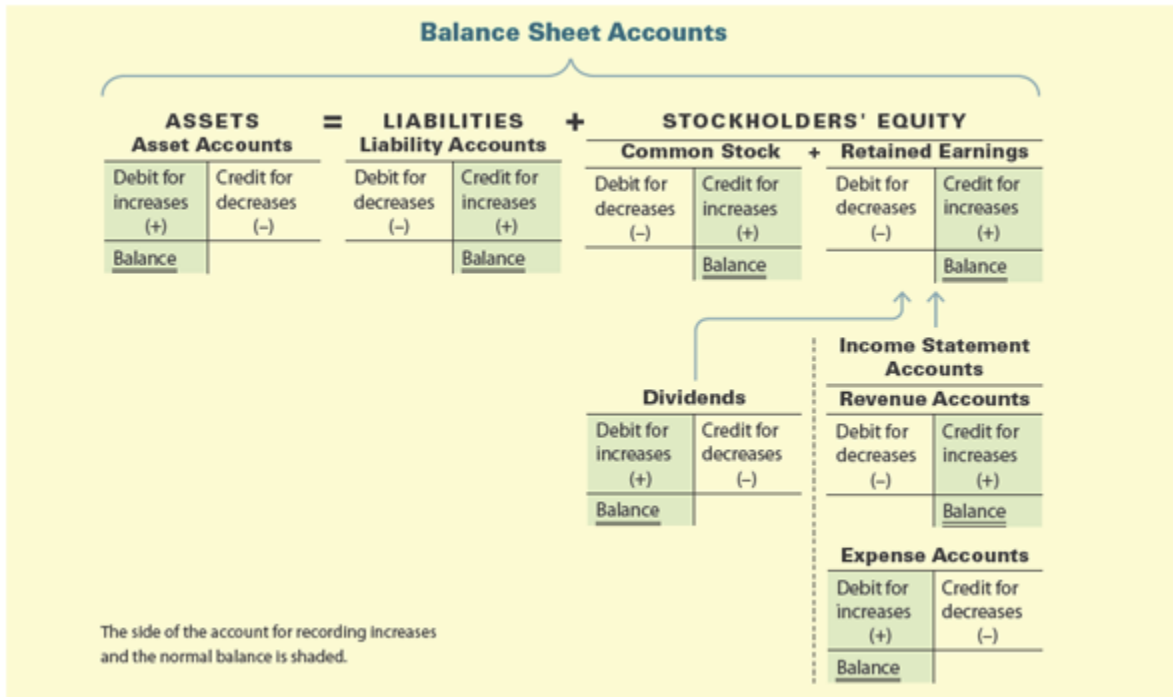
normal balance of an account (The side of an account (debit or credit) in which the balance normally appears based on the type of account and whether it is increased by debits or credits.)

is either a debit or credit depending on whether increases in the account are recorded as debits or credits. For example, because asset accounts are increased with debits, asset accounts normally have debit balances. Likewise, liability accounts normally have credit balances.

The rules of debit and credit and the normal balances of the various types of accounts are summarized in [Exhibit 3](#). Debits and credits are sometimes abbreviated as Dr. for debit and Cr. for credit.

Exhibit 3

Rules of Debit and Credit, Normal Balances of Accounts



When an account normally having a debit balance has a credit balance, or vice versa, an error may have occurred or an unusual situation may exist. For example, a credit balance in the office equipment account could result only from an error. This is because a business cannot have more decreases than increases of office equipment. On the other hand, a debit balance in an accounts payable account could result from an overpayment.

Check up Corner 2-1

Balance Sheet Accounts

David Simmons, M.D., organized Simmons Urgent Care Inc. by investing cash in exchange for common stock. In addition, the clinic purchased medical supplies and office equipment on account.

Identify the balance sheet accounts that Simmons Urgent Care used to record these transactions. For each account, indicate if it is an asset, liability, or stockholders' equity account and whether its normal balance is a debit or a credit.